

Understanding salaries and payroll

A practical guide for HR staff who record attendance, review additions and deductions, and prepare salary sheets. Based on the current application workflow, October 2026.

The short version: record work and claims, review them, create a draft salary sheet, check each employee, approve it, then mark it paid after the real payment is made. A draft does not pay anyone.

1. What each word means

Term	Plain-language meaning
Pay basis	How basic pay is earned: monthly salary, weekly rate, or daily rate.
Pay frequency	How often a salary run is prepared: daily, weekly, or monthly. A daily-rate worker can be paid weekly.
Allowance	Extra pay, such as transport or special duty. It appears separately from basic pay.
Reimbursement	Repayment of an approved expense, such as motorcycle mileage. It is not basic salary.
Deduction	Money subtracted from take-home pay, such as unpaid leave, employee EPF, or an advance recovery.
Employer cost	The company cost: earnings and reimbursements plus employer EPF and ETF. It is not the employee's take-home pay.

2. The monthly or weekly routine

Step	What HR does	What happens next
1. Set up	Check employee pay basis, rate, payment frequency, company, category, eligibility and effective date.	The correct rate and policy are available for the pay period.
2. Record work	Enter attendance and times; review corrections. Enter claims and recurring items where applicable.	The Payroll Inputs workspace shows missing or pending items.
3. Review	Confirm OT and eligible claims; resolve duplicates, missing sources and unusual amounts.	Only confirmed or approved inputs may enter payroll.
4. Prepare	Choose company, pay period and frequency; create the draft run.	A salary sheet is calculated for the selected period.
5. Check	Open the draft. Check days, basic pay, each addition, each deduction and net pay per employee.	If something is wrong, correct source records and prepare a fresh draft before approval.
6. Finish	Approve after review; mark paid only after Finance actually pays.	Approved/paid runs remain historical snapshots.

3. How basic pay is calculated

Pay basis	Current calculation	Example
Monthly salary	Configured monthly basic salary for the run; unpaid leave is deducted separately.	LKR 60,000 monthly basic; one unpaid day at LKR 2,000 daily rate means LKR 2,000 unpaid-leave deduction.
Weekly rate	Configured weekly basic rate for the run; unpaid leave is deducted separately.	LKR 15,000 weekly rate for a weekly run.
Daily rate	Daily rate x eligible attended days in the period. Unpaid days are not added.	LKR 2,500 x 5 attended days = LKR 12,500 basic.

Important: **pay basis and payment frequency are different choices.** A person may earn LKR 2,500 per attended day but receive one weekly payment for five days. The system currently requires monthly-salary employees to be paid monthly, and weekly-rate employees to be paid weekly.

The salary formula

Basic pay + confirmed Office/Site/Travel OT + allowances + approved reimbursements - unpaid leave - other deductions - employee EPF - salary advance recovery = net pay. Employer EPF and ETF are added to company cost, not deducted from net pay.

The system prevents net pay from becoming negative. Advance recovery is limited to what remains payable after other deductions. Check the draft for any advance balance not recovered in this run.

4. Attendance and overtime

HR can record attendance manually or review attendance submitted from a site. A valid record identifies the employee, date, work location/project, status, source and, for time-based OT, check-in and check-out. A correction needs a reason and is audit-logged.

Type	How it is entered	Pay rule
Office OT	HR-confirmed office overtime.	Hours x applicable office hourly rate.
Site OT	Suggested from time before normal start and after normal end; HR must confirm.	Hours x applicable site hourly rate.
Travel OT	Separate travel/work claim; not inferred from normal attendance times.	Hours x applicable travel hourly rate.

Example: normal shift 07:30-16:30; check-in 07:00 and check-out 17:30. Suggested Site OT is 0.5 hour before shift plus 1 hour after shift = 1.5 hours. The system rounds down to the policy interval and applies the minimum. HR reviews the suggestion before it can be paid. No OT is suggested for absence or leave. Site and Travel OT cannot overlap.

5. Allowances and reimbursements

Item	What to check
Transport	The employee must be eligible. A recurring transport component can be fixed, per-day, or attendance-prorated. HR sets the full-payment day threshold; do not assume one. Leave/absence count only if the current policy allows them.
Long-distance site	An approved travel claim linked to a project is required. The payment applies only when distance is greater than the policy threshold, not equal to it.
Motorcycle mileage	Approved kilometres x policy rate; optional fixed travel payment only if policy allows both. Mileage is a reimbursement, not basic salary.
Machine/operator or special duty	Can be recurring, prorated, or approved per day. A temporary addition stays a separate line; it does not change the employee's base rate.
Supervisor site charge	HR chooses whether a supervisor visit or labour mobilisation qualifies. Setting the rate alone does not create a payable claim.

6. Transport proration: a worked example

For attendance-prorated transport, the system first checks eligible days against the **configurable** full-payment threshold. If the threshold is met, it pays the full amount. If it is not met, the calculation is capped at the full amount: monthly transport amount / policy divisor x eligible days.

Example below the full-payment threshold: LKR 3,000 / 25 x 19 eligible days = LKR 2,280. The draft shows the eligible days and formula. The full-payment threshold itself must be set by HR.

The policy also decides whether leave or absent days count. Check these switches before changing a policy; they affect future calculations.

7. EPF and ETF

EPF/ETF eligibility is checked against the company's effective-dated rules and the employee profile: employment classification, monthly-equivalent salary threshold, contribution start date, and employee EPF/ETF switches. These are GKUC settings, not a legal statement. HR should confirm the current company policy before using them.

Contribution	Effect	Calculation basis
Employee EPF	Deducted from take-home pay.	Earned basic pay after unpaid-leave deduction.
Employer EPF	Added to employer cost.	Earned basic pay after unpaid-leave deduction.
Employer ETF	Added to employer cost.	Earned basic pay after unpaid-leave deduction.

Overtime, allowances and reimbursements do **not** increase the EPF/ETF calculation basis in the current system. Rates of 0% mean no contribution until HR configures them.

8. Recurring pay components and one-off claims

In **People - Payroll settings**, configure a recurring component for an employee when the same allowance, deduction or reimbursement should repeat. Give it a clear name, type, calculation method, amount, payment frequency, and effective dates. Transport can use the attendance-prorated method; other allowance types can use a fixed or per-day method as supported.

Use **Payroll Inputs** for one-off OT, travel, mileage, long-distance or special-duty claims. Add the date, project where relevant, evidence/source, and any required explanation. Submit, then perform the separate review-and-confirm action. A pending claim is not included in payroll.

9. Advances, unpaid leave and other deductions

A salary advance is money already given to the employee. Payroll recovers the approved amount from a later salary; it must not be paid a second time. Unpaid leave reduces monthly or weekly basic pay by unpaid days x employee daily rate. For daily-rate staff, basic pay already counts attended days, so the system does not subtract the same unpaid day twice. Other deductions appear separately.

10. Reading the draft salary sheet

Line	Question to ask before approval
Attendance days	Does the count match the approved attendance for the period?
Basic pay	Is the correct pay basis, rate, company and frequency used?
Office / Site / Travel OT	Were hours confirmed, non-overlapping, and multiplied by the right rate?
Allowances	Is each item eligible, correctly named, and fixed/prorated/per-day as intended?
Reimbursements	Is the source claim approved and supported by travel or mileage evidence?
Unpaid leave / deductions	Is unpaid leave valid, and are advances recovered only once?
EPF / ETF	Is the employee eligible, and are contributions based only on earned basic pay?
Net pay / employer cost	Does take-home pay make sense, and is employer cost distinguished from it?

11. Project costs are not a second salary

Payroll decides what the company owes an employee. QS daily cost control and project costing show which project incurred a cost. When a payroll attendance allocation is linked to a project, it reuses the source record; it does not create another salary payment. A manually entered unassigned labour cost in QS is a project cost, not an employee payslip line.

12. When something looks wrong

Problem	What HR should do
No pay for a worked day	Check attendance status, date, employee and pay basis. Review the correct payroll period.
OT missing	Check times, status, category, policy rate and whether HR confirmed the suggestion or claim.
Transport lower than expected	Check eligible days, full-payment threshold, divisor, policy switches and component calculation method.
EPF/ETF missing	Check employee switches, classification, salary threshold, start date and company policy effective date.
Advance deducted unexpectedly	Open the advance recovery schedule in the salary run and compare it with the original advance.
Old payslip differs from current policy	An approved/paid run is a snapshot. A later policy change must not rewrite it.

Do not approve a draft just to make a warning disappear. Correct the source record, run the salary calculation again, and review the employee breakdown before approval.

Guide scope: this explains the current GKUC SiteOps behaviour. Company policy amounts, thresholds and effective dates can change in HR settings. Confirm the current settings on screen before processing a real pay period.